

NovaShip Logistics - Fuel Surcharge Policy Memo (Internal)

Purpose: Set FY2025 fuel surcharge governance for NovaShip's last mile parcel program while protecting customer pricing integrity.

Scope: Applies to Carrier parcel invoices captured in the FY2024 invoice line extract.

Clause 1 (Benchmark Discipline): Any fuel normalization must reference a single public benchmark (EIA weekly U.S. No.2 diesel retail price).

Clause 2 (Cap vs Passthrough Conflict):

- 2.1 Default is pass-through: fuel surcharge follows the benchmark-based schedule.
- 2.2 CFO override permits a cap ONLY if customer price impact is contained within an agreed corridor.

Clause 3 (Customer Impact Corridor): Customer-facing price impact must remain within $\pm 1.50\%$ of total eligible FY2025 spend for the scoped services.

Clause 4 (Service Scope): A cap may be applied to Ground only; 2Day remains pass-through (service reliability constraint).

Footnote A (Exception): Residential and liftgate accessories require separate cleanup levers before changing fuel mechanics.

Data integrity note: Rows tagged Notes=='Pilot' are pilots; exclude from baselines and lever estimates.